corporations.

Liquidity Aggregates include more number of financial assets than those included in the Monetary Aggregates.

Monetary Aggregates

The new monetary aggregates are of four types. They are:

1. Reserve money or Base money (M_0)
2. Narrow money (M_1)
3. Intermediate money (M_2) and
4. Broad money (M_3)

1. Reserve Money or Base Money (M_0)

The financial assets in the M0 category is called reserve money because these are held in reserve either by public and banks (Currency in Circulation) or by the RBI (Bankers Deposits with the RBI + Other Deposits with the RBI) and these are not available for the lending purpose of banks.

M_0= Currency in Circulation + Bankers Deposits with the RBI + Other Deposits with the RBI

Currency in circulation is the total amount of the Rupee notes issued by the RBI and the Rupee coins and small (paisa) coins issued by the Government of India. Currency in circulation is equal to the total of the currency held by both public and banks. Bankers deposit with RBI includes Cash Reserve Ratio (CRR) and excess reserve. The banks keep CRR with RBI as stipulated by the latter. Some banks keep more cash reserve with RBI than the stipulated amount. It is called **excess reserve.**